

25STLC08481 25STLC08481

County: los-angeles

Division: Civil Law and Motion

Department: 406

Hearing date: 2026-07-01

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Case Number: 25STLC08481 Hearing Date: July 1, 2026 Dept: 406

CONEJO VALLEY HEATING & AIR
CONDITIONING, INC.,

Plaintiff,

v.

JERRY KOWAL,

Defendant.

Case No.: 25STLC08481

Hearing Date: July 1, 2026

[TENTATIVE]

order RE:

cross-defendants' demurrer to first
amended cross-complaint

BACKGROUND

On November 10, 2025, Plaintiff

Conejo Valley Heating & Air Conditioning, Inc. (Conejo) filed this action against Defendant Jerry Kowal (Kowal). Conejo filed the operative First Amended Complaint on December 9, 2025, asserting claims for (1) breach of contract, (2) common counts, and (3) quantum valebant. The FAC alleges that Kowal failed to

pay the amount owed to Conejo under a home improvement contract.

On December 18, 2025, Kowal filed a cross-complaint against Conejo, Branden Price Dickey (Dickey), and Merchants Bonding Company (MBC). Kowal filed the operative First Amended Cross-Complaint on February 19, 2026, adding CV 2025 Holdings, Inc. (CV) as a cross-defendant. Kowal later dismissed MBC. The FACC asserts claims for (1) violation of CLRA, (2) violation of the Business and Professions Code section 7150 et seq., (3) negligence, (4) breach of contract, (5) fraudulent misrepresentation, (6) negligent misrepresentation, (7) contractor's license bond, and (8) violation of the UCL.

The FACC alleges that Conejo failed to perform adequate repairs on Kowal's property and overcharged Kowal for unnecessary services. The FACC alleges that Dickey and CV are members of Conejo. Dickey is allegedly the sole shareholder and director of CV.

On May 22, 2026, Conejo, CV, and Dickey (collectively, Cross-Defendants) filed the instant demurrer to the FACC. Kowal filed an opposition on June 17, 2026. Cross-Defendants filed a reply on June 24, 2026.

LEGAL STANDARD

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Proc., § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) "California law emphasizes ultimate fact pleading (with some exceptions, notably for fraud and related torts) 'in ordinary and concise language,' and the test for adequacy is not absolute but 'whether the pleading as a whole apprises the adversary of the factual basis of the claim.'" (Lim v. The.TV Corp. Internat. (2002) 99 Cal.App.4th 684, 690.)

MEET AND CONFER

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., §§ 430.41, 435.5.) The Court finds that Cross-Defendants have satisfied the meet and confer requirement. (See Rodgers Decl.)

DISCUSSION

I.

Alter Ego

The debts, obligations, or liabilities of an LLC “do not become the debts, obligations, or other liabilities of a member or manager solely by reason of the member acting as a member or manager acting as a manager for the limited liability company.” (Corp. Code, § 17703.04(a).) However, a member “shall be subject to liability under the common law governing alter ego liability.” (Id., § 17703.04(b).)

“The alter ego doctrine arises when a plaintiff comes into court claiming that an opposing party is using the corporate form unjustly and in derogation of the plaintiff’s interests . . . In certain circumstances the court will disregard the corporate entity and will hold the individual shareholders liable for the actions of the corporation.” (Greenspan v. LADT LLC (2010) 191 Cal.App.4th 486, 510.) Establishing alter ego “generally requires the proponent to demonstrate two elements: (1) a unity of interest and ownership such that the separate personalities of the corporation and the individual do not exist; and (2) an inequitable result if the corporate identity is not disregarded.” (JPV I L.P. v. Koetting (2023) 88 Cal.App.5th 172, 189.)

In *Rutherford Holdings, LLC v. Plaza*

Del Rey (2014) 223 Cal.App.4th 221, 235-36, the court of appeal held that the following alter ego allegations were sufficient to survive a demurrer: that the individual defendant dominated and controlled the entity defendant; that a unity of interest and ownership existed between the individual defendant and

entity defendant; that the entity defendant was a mere shell and conduit for the individual defendant's affairs; that the entity defendant was inadequately capitalized; that the entity defendant failed to abide by corporate formalities; that the individual defendant used the entity defendant's assets as her own; and that recognizing the separate existence of the entity defendant would promote injustice.

Cross-Defendants argue that the FACC fails to establish CV's or Dickey's liability for the acts of Conejo because there are no facts showing CV's or Dickey's personal participation in the alleged wrongful acts. However, the FACC alleges ultimate facts similar to those found sufficient in Rutherford Holdings, establishing an alter ego relationship between Dickey and Conejo. (See FACC ¶¶ 5-6.) This sufficiently states a claim against Dickey for pleading purposes. Cross-Defendants cite no authority for imposing an additional requirement that the alter ego allegations must specifically relate to the alleged wrongful conduct.

Cross-Defendants insist that the personal participation requirement still applies to Dickey, citing *Reynolds v. Bement* (2005) 36 Cal.4th 1075 and *United States Liability Ins. Co. v. Haidinger-Hayes, Inc.* (1970) 1 Cal.3d 586. However, both cases predate the enactment of section 17703.04, which expressly states that "[a] member of a limited liability company shall be subject to liability under the common law governing alter ego liability." (Corp. Code, § 17703.04(b).) Cross-Defendants fail to establish that individual members are exempted from this provision. Section 17703.04(c) separately preserves a member's liability for personal participation, showing that alter ego and personal participation are separate and distinct bases for liability. Therefore, the FACC adequately alleges a basis for liability against Dickey.

However, the FACC does not sufficiently plead liability against CV. The FACC only alleges that Dickey is the alter ego of Conejo and CV, and alleges that Dickey should be held personally liable for the obligations of Conejo and CV. (FACC ¶¶ 5-6.) The FACC does not allege facts showing that CV is the alter ego of Conejo or that CV and Conejo operated as a single enterprise. Plaintiff cites no authority suggesting that an LLC and corporation are alter egos of one another just because the same individual is the alter ego of both. Therefore, the demurrer is sustained as to CV.

II.

Business and Professions Code Section 7159

“Pursuant to section 7159, home improvement contracts for work in excess of \$500 and any changes in such contracts, between a licensed contractor and an owner or tenant, must be evidenced by a writing and signed by all the parties. A violation of this provision by the licensee is a misdemeanor.” (Davenport & Co. v. Spieker (1988) 197 Cal.App.3d 566, 569; see also Phillippe v. Shapell Industries (1987) 43 Cal.3d 1247, 1266, fn. 12 [“Violation of Business and Professions Code section 7159 is a misdemeanor punishable by fine and/or imprisonment”].)

Section 7159 provides no private right of action, and Plaintiff cites no authority suggesting that it does. Plaintiff argues that the legislative purpose behind section 7159 favors a private right of action. However, the Supreme Court has recognized that the criminal penalties “should be sufficient to serve the underlying legislative policy of that statute.” (Phillippe, supra, 43 Cal.3d at p. 1266, fn. 12.) Thus, the Court agrees with Cross-Defendants that there is no actionable claim under section 7159.

However, the second cause of action is not solely based on section 7159. Rather, it asserts “violation of Business and Professions Code § 7160 et seq.” (FAC at 10:19-22.) The FACC alleges that “Business and Professions Code §7160 also creates a private right of action.” (FAC ¶ 40.) Section 7160 provides as follows: “Any person who is induced to contract for a work of improvement, including but not limited to a home improvement, in reliance on false or fraudulent representations or false statements knowingly made, may sue and recover from such contractor or solicitor a penalty of five hundred dollars (\$500), plus reasonable attorney’s fees, in addition to any damages sustained by him by reason of such statements or representations made by the contractor or solicitor.” (Bus. & Prof. Code, § 7160.)

Cross-Defendants do not argue that the FACC fails to state a claim under section 7160. Thus, the demurrer to the second cause of action fails to dispose of the entire cause of action and must be overruled. (See Poizner v. Fremont General Corp. (2007)

148 Cal.App.4th 97, 119 [“A
demurrer must dispose of an entire cause of action to be sustained”].)

CONCLUSION

Cross-Defendants’
demurrer is SUSTAINED with leave to amend to establish alter ego liability
against CV, and OVERRULED in all other respects.